

Supply Chain Risk Management Guidelines

Purpose

This document establishes the framework for identifying, assessing, monitoring, and mitigating inventory and supply chain risks across all operations.

Risk Categories

Low Risk

Minor operational impact with no expected customer disruption.

Medium Risk

Potential delays affecting limited customer orders.

High Risk

Significant operational disruption requiring management attention.

Critical Risk

Business continuity threatened due to stockouts, supplier failures, or logistics disruptions.

Risk Assessment Factors

Each risk is evaluated using:

- **Business Impact**
 - **Probability**
 - **Financial Exposure**
 - **Customer Impact**
 - **Supplier Dependency**
 - **Lead Time Variability**
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Common Inventory Risks

- **Stockouts**
- **Overstock**
- **Supplier delays**

- **Transportation failures**
 - **Forecast inaccuracies**
 - **Warehouse capacity constraints**
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Mitigation Strategies

- **Increase safety stock.**
 - **Diversify suppliers.**
 - **Improve forecasting accuracy.**
 - **Maintain alternate transportation providers.**
 - **Perform monthly risk reviews.**
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Risk Monitoring KPIs

- **Number of Critical Risks**
 - **Stockout Frequency**
 - **Supplier SLA Compliance**
 - **Average Lead Time**
 - **Inventory Accuracy**
 - **Backorder Percentage**
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Governance

The Supply Chain Risk Committee meets monthly to review high-risk issues, approve mitigation plans, and monitor corrective actions until closure.